CodeAlpha Internship – Stock Market & Trading Basics

TASK 1: Stock Market Basics Research Report

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Understanding the Stock Market, Market Types, and the Role of SEBI

Introduction

The stock market is one of the most important components of the global financial system. It acts as a platform where investors buy and sell shares of publicly listed companies. Businesses use the stock market to raise capital for expansion, innovation, and operations, while investors participate to grow wealth through capital appreciation and dividends.

Over the years, stock markets have evolved from traditional trading floors to highly advanced digital ecosystems driven by technology, analytics, and global connectivity. Today, millions of traders and investors participate in stock exchanges every day, making the market a major driver of economic growth.

This report explains the concept of the stock market, differentiates between primary and secondary markets, and highlights the role of SEBI in regulating the Indian financial system.

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1. What is the Stock Market?

The stock market is a marketplace where shares of publicly listed companies are issued, bought, and sold. It connects companies seeking investment with investors looking for profitable opportunities.

When a company needs money for growth, research, expansion, or debt repayment, it can issue shares to the public through an Initial Public Offering (IPO). Investors who buy these shares become partial owners of the company.

Stock markets provide liquidity, transparency, and opportunities for wealth generation. Investors can trade stocks through stock exchanges such as:

- National Stock Exchange (NSE)
- Bombay Stock Exchange (BSE)
- New York Stock Exchange (NYSE)
- NASDAQ

Key Functions of the Stock Market

1. Capital Formation

Companies raise funds from investors for business development and expansion.

2. Wealth Creation

Investors benefit from increasing stock prices and dividend income over time.

3. Economic Growth

Strong stock markets support industrial growth, employment, and innovation.

4. Liquidity

Investors can quickly buy or sell shares whenever needed.

5. Price Discovery

Stock prices are determined based on supply and demand.

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2. How the Stock Market Works

The stock market operates electronically through stock exchanges and brokers. Investors place buy or sell orders using trading platforms. These orders are matched automatically by exchange systems.

Example

Suppose an investor wants to buy shares of Reliance Industries:

1. The investor places a buy order.
2. A seller places a sell order.
3. The exchange matches both orders.

4. The transaction is completed.
5. Shares are transferred to the buyer’s Demat account.

Modern stock markets rely heavily on:

- Algorithmic trading
- Artificial intelligence
- Technical analysis software
- Real-time analytics
- Mobile trading applications

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3. Types of Stock Market Participants

Retail Investors

Individual investors trading with personal funds.

Institutional Investors

Organizations such as mutual funds, banks, and insurance companies.

Traders

People focused on short-term price movements.

Brokers

Licensed intermediaries who execute trades.

Market Makers

Entities that provide liquidity by continuously buying and selling shares.

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4. Primary Market vs Secondary Market

The stock market is broadly divided into two categories:

Feature	Primary Market	Secondary Market
Definition	Market where securities are issued for the first time	Market where already issued securities are traded
Purpose	Raise capital for companies	Provide liquidity to investors
Participants	Company and investors	Investors and traders
Example	IPO	Buying shares on NSE/BSE
Price Determination	Fixed by company/investment bankers	Determined by market demand and supply

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Primary Market

The primary market is where companies issue new shares directly to investors.

Features of Primary Market

- Helps companies raise fresh capital
- Includes IPOs and Follow-on Public Offers (FPOs)
- Investors purchase shares directly from the company
- Funds go to the issuing company

Advantages

- Supports business expansion
- Offers early investment opportunities
- Encourages entrepreneurship

Example

If a company launches an IPO at ₹500 per share, investors purchasing shares during the IPO participate in the primary market.

Secondary Market

The secondary market allows investors to trade existing shares among themselves.

Features of Secondary Market

- Shares are traded on exchanges
- Provides liquidity
- Prices fluctuate continuously

- High trading volume

Advantages

- Easy buying and selling
- Transparency in pricing
- Opportunity for profit through trading

Example

If an investor buys TCS shares from another investor through NSE, the transaction occurs in the secondary market.

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5. Importance of the Stock Market

1. Encourages Investment

People can invest savings into productive assets.

2. Supports Innovation

Companies gain funding for technological and industrial development.

3. Builds Financial Awareness

Individuals learn financial planning and wealth management.

4. Creates Employment

The financial industry generates jobs in banking, trading, analysis, and consulting.

5. Global Economic Indicator

Stock market performance often reflects economic conditions.

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6. Risks in the Stock Market

Although the stock market offers opportunities, it also involves risks.

Market Risk

Prices may fall due to economic uncertainty.

Liquidity Risk

Some stocks may be difficult to sell quickly.

Inflation Risk

Returns may not exceed inflation.

Emotional Trading

Fear and greed often lead to poor decisions.

Company-Specific Risk

Bad management or poor financial performance can reduce stock value.

Risk management strategies include diversification, stop-loss orders, and long-term investing.

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7. Role of SEBI in India

The Securities and Exchange Board of India (SEBI) is the regulatory authority responsible for supervising and regulating the Indian securities market.

SEBI was established in 1988 and received statutory powers in 1992 through the SEBI Act.

Its primary objective is to protect investor interests and ensure fair market practices.

Major Functions of SEBI

1. Protecting Investors

SEBI safeguards investors from fraud, insider trading, and market manipulation.

2. Regulating Stock Exchanges

SEBI supervises exchanges like NSE and BSE to ensure transparency.

3. Monitoring Market Participants

Brokers, mutual funds, portfolio managers, and investment advisors must comply with SEBI regulations.

4. Preventing Unfair Practices

SEBI investigates illegal activities such as price rigging and insider trading.

5. Promoting Fair Trading

The organization ensures ethical and transparent market operations.

6. Investor Education

SEBI conducts awareness programs to improve financial literacy.

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8. Key Achievements of SEBI

- Introduced electronic trading systems
- Improved transparency in IPOs
- Strengthened investor protection mechanisms
- Promoted online trading and Demat accounts
- Implemented strict disclosure requirements

These reforms have increased confidence among domestic and international investors.

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9. Modern Trends in Stock Markets

Algorithmic Trading

Automated trading systems execute trades within milliseconds.

Artificial Intelligence

AI-based tools help analyze stock trends and predict market behavior.

Mobile Trading Apps

Investors can trade directly from smartphones.

Social Investing

Online communities influence investment decisions.

Sustainable Investing

Environmental, Social, and Governance (ESG) investing is gaining popularity.

Conclusion

The stock market plays a vital role in economic development by connecting investors with businesses. It enables capital formation, wealth creation, and financial growth while providing investment opportunities to individuals and institutions.

Understanding the difference between primary and secondary markets helps investors better understand how securities are issued and traded. Similarly, the role of SEBI is extremely important in maintaining transparency, investor protection, and market stability in India.

As financial markets continue evolving with technology and globalization, investors must develop knowledge, discipline, and analytical skills to make informed investment decisions.

References

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